

A FINANCIAL STEWARDSHIP COURSE

Accounting and bookkeeping principles for churches, ministries, and mission-driven organizations — from first principles to practice.

VERSION 2 — REVISED EDITION

Powered by **Clariva** · Financial stewardship for the organizations that matter most.

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WHY STEWARDSHIP CHANGES EVERYTHING

When someone gives money to a church or ministry, something important happens — something that is easy to miss.

They are not paying for a service. They are not making a purchase. They are placing their **trust** in you. The money that lands in the offering basket, the bank transfer from a donor, the grant from a foundation — none of it belongs to the individuals who handle it. It belongs to the mission. It is held **in trust**.

This single idea — stewardship — is the foundation of everything in this course.

What Stewardship Actually Means

The word steward comes from old English — it means someone who manages another person's household. A steward is not the owner. They are the caretaker. Their job is to handle what belongs to someone else with at least as much care as the owner would.

In a church or ministry context, your organization is the steward:

- Steward of your donors' gifts
- Steward of your community's trust
- Steward of the mission's resources

This reframes what financial management means. It is not paperwork. It is not bureaucracy. It is faithfulness.

The One Rule That Changes Everything

In accounting, there is a foundational principle called the **Entity Concept**:

An organization is a separate entity from the people who run it. Its money belongs to the organization — not to its leaders, staff, or members.

This means:

- The pastor's personal account and the church's account are completely separate — always
- The treasurer handles the organization's money as a caretaker, not an owner

- Financial decisions must be traceable to the organization's purpose, not personal preference
- Records must be kept as though anyone could ask to see them — because they can, and sometimes they do

This is not distrust of leaders. It is the structure that protects everyone, including the leaders.

What Happens Without Records

Many organizations start informally. One person handles the money. Everything is remembered, or tracked in a notebook, or stored in someone's head.

This works — until it doesn't.

Without proper records, your organization cannot:

- Tell donors how their gifts were actually used
- Identify if money has gone missing — or clear someone's name if it hasn't
- Plan next year's budget based on real numbers
- Produce a report for your board, your denomination, or a grant provider
- survive an audit, a leadership transition, or a legal inquiry

The absence of records is not neutral. It is a failure of stewardship.

Three Buckets: A Simple Way to Think About It

All of accounting — every system, every report, every spreadsheet — comes down to answering three questions:

1. What do we have? Cash in the bank. Foreign currency holdings. Equipment we own. Anything of value the organization holds.

2. What do we owe? Loans to repay. Invoices that haven't been paid yet. Obligations to others.

3. What's left? What remains after you subtract what you owe from what you have. For nonprofits, this is called **net assets** — the accumulated financial strength of the organization.

In accounting, this is expressed as:

What we have (Assets) = What we owe (Liabilities) + What's left (Net Assets)

This is the **accounting equation** — the bedrock of financial record-keeping worldwide.

Where Clariva Fits

Clariva handles the first and third buckets well:

- **What you have** — it tracks your bank account balances and cash position

- **What's left** — it tracks fund balances and category surpluses across your income and expenses

The middle bucket — what you owe (loans, debts, unpaid obligations) — is outside Clariva's current scope. We will talk about this honestly in Module 5, and explain how to handle it.

What Good Stewardship Looks Like

An organization with healthy financial stewardship can answer these six questions quickly, at any time:

1. How much money do we have right now, and in which accounts?
2. Where did the money come from?
3. Where did the money go, and for what purpose?
4. Are we spending within our budget?
5. Is every designated gift being used for its intended purpose?
6. Who authorized each significant transaction?

If any of these questions takes more than a few minutes to answer, the financial system needs attention.

Introducing Clariva

Clariva is a financial stewardship platform built for organizations exactly like yours — churches, ministries, NGOs, and mission-driven teams that hold money in trust.

It was not adapted from generic accounting software. It was designed from the ground up around the stewardship principle. Every feature in Clariva exists to help you answer those six questions clearly, quickly, and confidently.

In the modules that follow, you will learn the financial principles that underpin how Clariva works — not as abstract accounting theory, but as practical tools for faithful money management.

"Well done, good and faithful servant. You have been faithful with a few things; I will put you in charge of many things."

— Matthew 25:23

Next: Module 2 — When Money Comes In

WHEN MONEY COMES IN

Every financial record starts with a simple event: money arrives.

Understanding how to record that moment — completely and accurately — is one of the most important habits your organization can build. In this module, we cover everything that happens when money comes into your organization.

What Is an Inflow?

An **inflow** is any money that comes into your organization. It increases the funds available to you.

You may also hear it called:

- **Income** or **revenue** (accounting terms)
- **Receipt** (when it refers to a specific deposit)
- **Credit** (in bank statement language — the bank credits your account when money arrives)

Common inflows for a church or ministry:

Type	Description
Tithes	Regular giving from members, typically 10% of income
Offerings	Voluntary gifts beyond the tithe
Designated donations	Gifts given for a specific named purpose
Grants	Funds received from a foundation, denomination, or government body
Fundraising proceeds	Money raised through events or campaigns
Interest income	Interest earned on savings accounts
Rental income	If the organization rents out facilities

Each of these is an inflow. Each must be recorded.

Why Every Inflow Must Be Recorded Immediately

The golden rule of income recording:

Record every inflow at the point it is received — not later, not approximately, and never from memory.

Delayed recording creates gaps. Gaps invite disputes. Disputes damage trust. And in an organization that holds money on behalf of others, trust is everything.

For each inflow, record:

- **Date** — the exact date it was received
- **Amount** — the precise figure, in the original currency
- **Source** — who gave it (a person, a grant body, a fundraising event)
- **Category** — what type of income it is (tithe, offering, grant, etc.)
- **Bank account** — which account the money went into
- **Reference** — a transaction ID, cheque number, or transfer reference

Source Documents for Income

A **source document** is the evidence that a transaction happened. Before recording any inflow, you need a source document to support it.

Inflow Type	Source Document
Cash offering	Counting sheet signed by two counters; bank deposit slip
Bank transfer / EFT	Bank notification or statement showing the credit
Cheque	Copy of the cheque; bank deposit slip
Grant received	Grant agreement; payment advice from the funder
Fundraising event	Event revenue summary; ticket records; bank deposit slip
Interest	Bank statement showing interest credit

The principle behind this is called **verifiability** — any transaction in your records should be traceable to a piece of evidence that proves it happened. If there is no source document, the transaction is harder to defend in a review or audit.

Income Categories: Naming What Comes In

Not all income is the same. A tithe given freely by a member is different from a grant restricted to a specific project. Recording both simply as "income" loses information that matters.

Income categories (sometimes called income types) are named labels you assign to each inflow so you can later answer questions like:

- How much came in as tithes last quarter?
- How much of our income is from designated giving?
- What was total grant income this year?

Common income categories for mission organizations:

Tithes & Offerings

- └─ Sunday Tithes
- └─ Mid-week Offerings
- └─ Special Offerings

Designated Giving

- └─ Building Fund
- └─ Mission Trip Fund
- └─ Widows & Orphans Fund

Grants & External Funding

- └─ Denominational Grant
- └─ Government / NGO Grant

Other Income

- └─ Interest Income
- └─ Facility Rental

The rule: **design your categories to answer the questions your leaders ask most often.**

The Bank Account Question

Every inflow must go into a bank account. Which one?

Most organizations have more than one bank account — a main operating account, a savings account, perhaps a building fund account, perhaps a foreign currency account. When money arrives, it is deposited into one of these accounts.

Recording which account matters because:

- Your cash position is the sum of all your account balances — you need to know where the money physically is
- Some designated funds are kept in separate accounts to make tracking cleaner
- Bank reconciliation (covered in Module 5) requires matching records to specific account statements

What Clariva Does With This

In Clariva, recording an inflow means capturing:

1. **Date** of the transaction

2. **Amount** and currency
3. **Income type / category** — what kind of income it is
4. **Bank** — which account it went into
5. **Description and reference** — supporting detail
6. **Receipt** — an attached image of the source document

Clariva's **import pipeline** takes this further: instead of entering each transaction manually, you can upload your bank statement directly. Clariva reads every transaction, displays them for your review, and lets you assign categories in bulk. This eliminates transcription errors and ensures no transaction is missed.

"Every transaction. In one place. In minutes." — Clariva

Next: Module 3 — When Money Goes Out

WHEN MONEY GOES OUT

If income recording is about capturing trust received, expense recording is about demonstrating trust fulfilled. Every outflow from your organization tells a story: money that was entrusted to you was used for the mission. That story needs to be told clearly, completely, and verifiably.

What Is an Outflow?

An **outflow** is any money that leaves your organization. It reduces the funds available to you.

You may also hear it called:

- **Expense** or **expenditure** (accounting terms)
- **Payment** or **disbursement** (when referring to a specific transaction)
- **Debit** (in bank statement language — the bank debits your account when money leaves)

Common outflows for a church or ministry:

Category	Examples
Personnel	Salaries, wages, housing allowances, health contributions
Facilities	Rent, electricity, water, cleaning, repairs
Ministry & Programmes	Sunday service costs, children's ministry, outreach events
Administration	Office supplies, software, printing, communication
Travel & Transport	Fuel, vehicle maintenance, flights for ministry trips
Missions & Outreach	Supported missionaries, community programmes, relief work
Debt Servicing	Loan repayments (if applicable)

The Receipt Rule

Every outflow must have a receipt or equivalent evidence before it is recorded.

This is not bureaucracy. This is protection — for the organization, for donors, and for the person who made the payment. A receipt answers three questions that an auditor, a board member, or a donor might ask:

1. Was this payment real?
2. Was it for a legitimate organizational purpose?
3. Was the amount correct?

What a valid receipt must show:

- Date of the transaction
- Name of the vendor or payee
- Description of what was purchased or paid for
- Amount (and currency)
- A reference number, invoice number, or receipt number

When there is no receipt (petty cash, small informal purchases):

- A **payment voucher** — a simple internal form completed by the person who made the payment, describing the purchase and signed by them and an approving officer — is an acceptable substitute
- The bar for a signed voucher is lower than for a vendor receipt, but it must still exist

No receipt, no record. No record, no payment — at least not without escalation and documentation of why the receipt is missing.

The Approval Principle

Before money leaves the organization, someone must approve it.

This is not about slowing things down. It is about ensuring that:

- The payment serves the organization's purpose
- The amount is reasonable
- The payment has been authorized by someone other than the person spending

Typical approval tiers:

Amount	Who approves
Small amounts (e.g. under ₦ 20,000)	Finance manager or department head
Medium amounts (e.g. ₦ 20,000– ₦ 200,000)	Senior pastor or executive director
Large amounts (e.g. over ₦ 200,000)	Board or finance committee
Any unusual or first-time vendor	Additional sign-off regardless of amount

Your organization should document these thresholds in a written policy. The exact amounts are your decision — the principle of tiered approval is universal.

Expense Categories: Naming What Goes Out

Just as income needs categories, so do expenses. Without categories, you can see the total you have spent but not where it went — which makes budget tracking and board reporting impossible.

Expense categories answer questions like:

- How much did we spend on staff costs this year?
- Is our facilities budget on track?
- How much went to outreach vs. administration?

Designing your expense categories:

The goal is that your category names map directly to the questions your leadership asks. If your pastor never asks about stationery separately from other office costs, lump them together. If your board cares about mission costs as a distinct line, give it its own category.

A workable starting point for most churches:

Personnel

- └─ Pastoral Staff
- └─ Support Staff
- └─ Freelance / Contractors

Facilities

- └─ Rent / Mortgage
- └─ Utilities (Electricity, Water, Internet)
- └─ Maintenance & Repairs

Ministry Operations

- └─ Sunday Service
- └─ Children's Ministry
- └─ Youth Ministry
- └─ Special Events

Administration

- └─ Office & Stationery
- └─ Software & Subscriptions
- └─ Banking Charges

Missions & Outreach

- └─ Local Outreach
- └─ Missions Support

Petty Cash

Petty cash is a small amount of physical cash kept on hand for minor day-to-day expenses that are impractical to pay by bank transfer — small purchases, taxi fares, printing costs.

Petty cash management requires:

- A defined **float** (the fixed amount kept in the petty cash box — e.g. ₦10,000)
- A **petty cash voucher** for every payment made from the float
- A **reconciliation** at regular intervals: cash remaining + vouchers = the float amount
- A **replenishment** process when the cash runs low: collect all vouchers, record the expenses, and refill the float

Petty cash is not a slush fund. It is a managed system with full documentation.

What Clariva Does With This

In Clariva, recording an outflow captures:

1. **Date** of the payment
2. **Amount** and currency
3. **Expense category** — what it was for
4. **Bank account** — which account the payment came from
5. **Payee / description** — who was paid and why
6. **Receipt attachment** — image of the invoice, receipt, or voucher

Once recorded, outflows are visible in:

- The **Outflows page** — full list of all payments, filterable by category, date, or bank
- The **Category Ledger** — running balance per category (inflows allocated minus outflows)
- **Reports** — income and expenditure summary, budget vs. actual breakdown

Clariva's import pipeline also handles outflows: bank statement debits can be imported in bulk and categorized — so your records stay current without manual entry for every payment.

Next: Module 4 — Organizing with Categories

ORGANIZING WITH CATEGORIES

By this point you understand what inflows and outflows are. Now we address the question that turns raw transactions into useful information: **how do you organize them so they mean something?**

The answer is categories — and this module shows you how to build a category structure that works for your organization.

Why Categories Matter

Imagine two organizations. Both received ₦5,000,000 in income last year and paid out ₦4,200,000 in expenses.

Organization A has one category for income ("Donations") and two for expenses ("Running Costs" and "Ministry"). They know their total. They cannot tell the board where the money came from or where it went in any meaningful detail.

Organization B has structured categories for income (Sunday tithes, building fund, grants, special offerings) and expenses (personnel, facilities, each ministry programme, administration). They can answer any question the board, an auditor, or a donor asks — instantly.

The difference is not the volume of transactions. It is the structure.

The Chart of Accounts

In professional accounting, the master list of all named categories is called the **Chart of Accounts (COA)**. It is the filing system for your entire financial record.

In full accounting systems, a chart of accounts includes five types:

Type	Tracks	Example
Assets	What you own or hold	Bank accounts, equipment
Liabilities	What you owe	Loans, unpaid bills
Net Assets	What's left after obligations	Fund balances
Income	Money received	Tithes, grants
Expense	Money paid out	Salaries, utilities

In Clariva, categories cover income and expenses — the two types you work with daily. Your bank accounts (assets) are tracked separately as "Banks." Liabilities and net equity are outside Clariva's current scope, as covered in Module 5.

This is not a limitation for most small-to-medium mission organizations. Day-to-day stewardship is about knowing what came in, what went out, and where your funds stand — and that is exactly what Clariva's categories support.

How to Design Your Categories

Start with questions, not categories. Ask:

What questions does your leadership ask most often?

- "How much came in from tithes vs. special offerings?" → You need separate income categories for each
- "How much are we spending on staff vs. programmes?" → You need separate expense categories
- "How is the building fund doing?" → You need a dedicated building fund income category
- "What did the youth ministry cost us this quarter?" → You need a youth ministry expense category

Your categories should be the answer to every financial question your leaders regularly ask.

Practical Category Design

Income Categories

Think about your income sources and whether they need to be tracked separately:

Start simple:

- Tithes & Offerings (general Sunday giving)
- Designated Giving (gifts for specific purposes)
- Grants & External Funding
- Other Income

Get more specific as needed:

- Split "Designated Giving" into individual funds (Building Fund, Mission Fund, Welfare Fund)
- Split "Other Income" into Interest, Rental, Fundraising Events

Expense Categories

Think about your spending and the questions you need to answer:

Start simple:

- Personnel (all staff costs)

- Facilities (rent, utilities, maintenance)
- Ministry & Programmes
- Administration
- Missions & Outreach

Get more specific as needed:

- Split "Ministry & Programmes" by department (Children, Youth, Adults, Worship)
- Split "Personnel" into Pastoral, Support, Casual

The Right Level of Detail

Too few categories → reports that are too vague to be useful. Too many categories → records that are time-consuming to maintain and reports that are hard to read.

Rule of thumb: If you would never report on a category separately to your board, it probably does not need to be its own category. If the answer to a question depends on having it separate, it does.

The Consistency Principle

One of the most important rules in accounting is **consistency**: use the same categories, in the same way, from period to period.

Why this matters:

- Comparing January to February is only meaningful if you classified the same types of costs in the same categories both months
- Year-on-year trends only make sense if the classification rules did not change between years
- Board reports lose credibility if the same type of expense appears in different categories depending on who recorded it

Once you set your categories, document the rules for each one. Write down: *"This category includes X and Y. It does not include Z, which goes in [other category]."* A short paragraph per category is enough.

Account Numbers (Optional)

Many organizations prefix their categories with numbers for easy reference:

Number Range	Type
4000–4999	Income
5000–5999	Expenses

Example:

- 4100 — Sunday Tithes
- 4200 — Building Fund Donations
- 5100 — Pastoral Salaries
- 5200 — Facilities

Numbered categories make reports easier to read in a consistent order and simplify reference in conversation ("Check the 5200 line"). This is optional — especially for small organizations — but worth adopting if your team is growing.

What Clariva Does With This

In Clariva:

- **Categories** are set up once in the Categories section
- Every inflow and outflow is tagged to a category at the point of entry
- The **Category Ledger** shows the running balance for each category — all inflows, all outflows, net position
- **Reports** group all transactions by category automatically, giving you income by source and expenses by type without any extra work

***Practical tip:** Before your first Clariva setup session, spend 30 minutes listing every question your leadership asks about money. Then design your categories to answer each one. A good category structure pays dividends every time you produce a report.*

Next: Module 5 — Your Banks and Cash Position

YOUR BANKS AND CASH POSITION

The most important number your organization needs to know at any time is this: **how much money do we actually have, and where is it?**

This module covers bank accounts — the real, physical places where your money lives — and how to track them accurately. It also covers what Clariva tracks and, honestly, what it does not.

Your Bank Accounts Are Your Assets

In accounting, anything your organization owns or holds of value is called an **asset**. Your most important assets — by far — are your bank account balances. Cash is the most liquid asset: it can be used immediately to pay for anything.

When we talk about "your cash position," we mean the sum of all your bank account balances across every account your organization holds.

Common account types in a mission organization:

Account Type	Purpose
Main operating account	Day-to-day income and expenses
Savings account	Reserved funds, building projects, emergency reserves
Building fund account	Segregated designated giving for construction
Foreign currency account	Holds USD, GBP, EUR, or other currencies
Petty cash	Physical cash on hand for minor daily expenses

Each account has its own balance. Your total cash position is the sum of all of them.

Opening Balances

When you start using a financial system for the first time, you need to tell it where you are starting from. This is called the **opening balance** — the amount in each bank account on the day you begin keeping records in the system.

Getting opening balances right is critical. Every calculation that follows — running balances, reports, reconciliation — starts from this number. If the opening balance is wrong, everything built on top of it is

wrong.

Before setting up your banking records:

1. Obtain your actual bank statement for the start date
2. Confirm the closing balance on that statement
3. Enter that as your opening balance in the system

If you have been keeping records elsewhere (a spreadsheet, a previous system), your opening balance should match what those records show — not just what the bank statement shows, because you may have outstanding transactions.

Bank Reconciliation

Bank reconciliation is the process of comparing your internal records to your bank statement — and confirming they match.

This is one of the most important financial controls that exists. It should be done every month, without exception.

Why Reconcile?

- Catches recording errors: a wrong amount entered, a transaction recorded twice, or a transaction missed
- Detects unauthorized transactions: a payment you did not make, a charge you did not authorize
- Confirms timing differences: money you recorded that the bank has not yet processed (or vice versa)

How Reconciliation Works

At the end of each month:

Step 1: Get your bank statement — the official record from the bank of every transaction in and out.

Step 2: Compare it, line by line, to your internal records.

Step 3: Identify differences:

Difference Type	What it means
In your records, not on the statement	Outstanding — you recorded it but it hasn't cleared the bank yet (common with cheques)
On the statement, not in your records	Missing — you need to record it (bank charges, interest, direct credits you missed)
Same transaction, different amount	Error — investigate; one side needs correcting

Step 4: After accounting for all timing differences, your adjusted book balance should equal your adjusted bank balance. If it doesn't, keep looking — there is an error somewhere.

A small unresolved difference is not a small problem. A \$500 discrepancy you ignore today might be a \$500 pattern that becomes a \$50,000 problem next year.

Foreign Currency Accounts

If your organization receives funds in foreign currencies (USD, GBP, EUR, CNY), those currencies are assets too — but their value in your home currency changes with exchange rates.

When foreign currency is received:

- Record the amount in the original currency
- Note the exchange rate at the time
- Calculate the home currency equivalent

When foreign currency is converted (sold or transferred):

- Record the conversion as a separate transaction
- Record any gain or loss from the rate difference

Foreign currency management adds complexity, but the principle is the same: every movement of money is recorded, with the amount, the currency, and the rate.

What Clariva Tracks vs. What It Does Not

This is an important moment of honesty, because understanding the limits of any tool helps you use it well.

What Clariva tracks:

- All your bank account balances (automatically updated as you record inflows and outflows)
- Foreign currency holdings and FX conversions
- Running balance per bank account, per transaction
- Fund transfers between accounts

What Clariva does not currently track:

- **Loans and borrowings** — if your organization has taken a loan, the outstanding balance is not tracked in Clariva
- **Fixed assets** — equipment, vehicles, buildings the organization owns are not recorded
- **Amounts owed to you** — if someone owes your organization money (a grant payment coming, a receivable), there is no formal tracking for this

These items — loans, fixed assets, receivables — are part of the "what you have and what you owe" picture that a full balance sheet captures. Clariva gives you the cash layer of that picture very well. For the complete picture, larger organizations typically work with an accountant who maintains a full set of accounts separately, using Clariva's data as the primary transaction record.

We will return to this in Module 7 when we cover reports.

What Clariva Does With This

In Clariva, each bank account is set up with:

- A name
- A type (checking, savings, foreign currency, special)
- An opening balance and opening date
- A currency

Once set up:

- Every inflow and outflow is tagged to a bank account
- The **Bank Ledger** shows a running balance for each account — every transaction in chronological order, with the balance after each one
- The **Dashboard** shows your total cash position across all accounts at a glance
- Transfers between accounts are recorded as **Fund Transfers** — neither income nor expense, just a movement of money between your own accounts

"Confidence you can audit. Every time." — Clariva

Next: Module 6 — Designated Funds and Donor Trust

DESIGNATED FUNDS AND DONOR TRUST

There is a difference between money that is yours to use as you see fit, and money that has been given for a specific purpose. This difference is not merely administrative — it is a legal and ethical obligation.

Getting it right is one of the most important things a mission organization can do.

The Difference That Changes Everything

When a member drops cash into the general offering basket on Sunday, they trust the church to use it for the organization's mission broadly. That is **unrestricted giving** — the organization can apply it wherever it is most needed.

When a member writes "Building Fund" on their envelope, or a donor specifies that their transfer is for the children's programme, or a foundation awards a grant restricted to a particular project — that money is no longer freely available. It must be used for what the giver designated.

This is **restricted giving**, and it creates an obligation that does not go away until the money has been used for the stated purpose.

Using designated funds for any other purpose — even temporarily, even with the intention of "borrowing" and replacing — is a breach of donor trust and, in many jurisdictions, illegal.

Fund Accounting

Fund accounting is the accounting discipline developed specifically to handle this reality. It is used by churches, nonprofits, government bodies, and any organization that must account for money restricted to specific purposes.

The core idea: **don't mix restricted and unrestricted money in the same pot.**

In practice, this means tracking the balance of each fund separately, so you can answer at any time:

- How much is in the Building Fund?
- Has all of the children's programme grant been spent? On what?
- Do we have unrestricted reserves available if an emergency arises?

Three Categories of Funds

Unrestricted funds Money the organization can use for any purpose aligned with its mission.

- General tithes and offerings
- Fundraising proceeds with no stated restriction
- Unrestricted grants or gifts

Temporarily restricted funds Money that must be used for a specific purpose or within a specific time period.

- Building fund donations
- Mission trip sponsorships
- Programme-specific grants
- Annual campaign gifts for a stated use

Permanently restricted funds (less common for smaller organizations) Money that must be held indefinitely. Only the income it generates may be spent.

- Endowments
- Named memorial funds with permanent terms

Tracking Each Fund in Practice

For every restricted fund, maintain a running record that shows:

Date	Description	In	Out	Balance
Jan 1	Opening balance			₦0
Jan 15	Member donation — Building	₦500,000		₦500,000
Feb 3	Congregation pledge — Building	₦200,000		₦700,000
Mar 10	Architect engagement fee		₦250,000	₦450,000
Mar 31	Closing balance			₦450,000

The organization may have ₦3,000,000 total across all bank accounts — but ₦450,000 of that is not available for general use. It belongs to the building project.

This distinction is only visible if you track it. Without fund accounting, all the money looks the same — and misuse becomes easy, even accidental.

Budgets: Planning With Purpose

A **budget** is a financial plan — a decision made in advance about how money will be received and spent.

Creating a budget forces an organization to think carefully about:

- What income are we expecting, and from which sources?
- What are our commitments and planned expenses?
- Are our plans sustainable given our expected income?

A budget is not a straitjacket. It is a reference point. When actual results differ from the plan, the difference (called a **variance**) prompts a conversation: was this expected? Is it a one-time event? Does it require us to adjust plans?

Budget vs. Actual Report

The most useful budget tool is the **Budget vs. Actual** report. For each income and expense category, it shows:

- What was budgeted (planned)
- What actually happened
- The variance — how much over or under, and by what percentage

Category	Budget	Actual	Variance
Sunday Tithes	₦1,200,000	₦1,050,000	₦ 150,000 (–12.5%)
Building Fund Donations	₦500,000	₦700,000	+ ₦ 200,000 (+40%)
Pastoral Salaries	₦600,000	₦600,000	₦0
Building Maintenance	₦100,000	₦143,000	₦ 43,000 (–43%)
Youth Ministry	₦150,000	₦88,000	+ ₦ 62,000 (+41%)

A red number is not automatically bad — perhaps the Youth Ministry event was cancelled and money was saved. A green number is not automatically good — perhaps unexpected building repairs exceeded budget. The variance tells you where to look. Leadership judgment tells you what it means.

Allocation Configs: Rules for Distributing Income

Many churches and ministries operate on an **allocation model**: when income comes in, it is distributed according to agreed percentages to different ministry areas or fund categories.

For example, an organization might agree that every general offering is split:

- 40% → Pastoral & Staff
- 25% → Facilities
- 20% → Outreach & Programmes
- 15% → Designated Savings

These allocation rules ensure that every department receives its agreed share automatically, without manual calculation every time money arrives.

What Clariva Does With This

Clariva handles the complexity of fund management through four interconnected features:

Allocation Configs — define your income distribution rules. When an offering is recorded, Clariva automatically applies the agreed percentages and routes each portion to the correct category.

Designated Savings — track specific restricted funds with their own running balances, clearly separate from general operating funds. The building fund balance is always visible and always current.

Fund Transfers — when money moves between bank accounts (e.g., transferring the month's building fund contributions into a dedicated savings account), Clariva records it properly as a transfer — not as income or expense — so it never distorts your reports.

Budget Centre — set budget amounts by category, then track actuals against budget in real time. Variances are visible without any extra calculation.

"Honour every designation." — Clariva

Next: Module 7 — Reading Your Reports

READING YOUR REPORTS

Records answer the question "what happened?" Reports answer the question "what does it mean?"

If you have done everything in the previous modules — recording inflows and outflows, categorizing transactions, tracking funds, reconciling banks — then your data is ready to speak. This module teaches you to read what it says.

What Clariva Produces

Clariva generates the following reports from your transaction data:

Report	What it answers
Income & Expenditure	What came in and what went out, by category, over a period
Bank Balances	How much cash is held in each account right now
Category Ledger	The running balance of each fund or category
Budget vs. Actual	How actual results compare to the budget
Fund Reports	Inflows, outflows, and balance for each designated fund

These reports cover everything a church board, a pastor, a finance committee, or a donor needs for day-to-day financial oversight.

The Income and Expenditure Statement

This is the most important report for most mission organizations. It is sometimes called:

- The Income Statement
- The Statement of Activities (in nonprofit accounting)
- The Profit and Loss (in commercial accounting — "profit" becomes "surplus" for nonprofits)

What it shows: All income and all expenses over a chosen period (a month, a quarter, a year), organized by category, with a total at the bottom.

How to read it:

INCOME	
Sunday Tithes	₦1,050,000
Building Fund Donations	₦700,000
Grant – Children's Programme	₦500,000
Total Income	₦2,250,000
EXPENSES	
Pastoral Salaries	₦600,000
Facilities	₦143,000
Youth Ministry	₦88,000
Children's Programme	₦490,000
Administration	₦45,000
Total Expenses	₦1,366,000
NET SURPLUS	₦884,000

Net surplus means income exceeded expenses — the organization is operating within its means. A **net deficit** means the opposite, and requires attention.

Questions to ask when reading this report:

- Is total income growing, stable, or declining compared to previous periods?
- Which expense categories are increasing? Is that increase justified?
- Is the surplus or deficit consistent with what we expected?
- Are any income categories missing that we expected to see?

Cash Position: What You Actually Have

The Income & Expenditure statement shows flows over time. But sometimes the most urgent question is simpler: **what do we have right now?**

The answer is your **cash position** — the sum of all bank account balances at this moment.

This matters because:

- A surplus on the Income & Expenditure statement does not mean the cash is available — it might be restricted to a designated fund
- An organization can show a healthy surplus and still run out of cash if income arrives late and expenses are due now

Cash runway is a practical indicator: take your total unrestricted cash and divide by your average monthly operating expenses. The result is the number of months you can keep operating if no new income arrives.

$$\text{Cash Runway} = \text{Total Unrestricted Cash} \div \text{Monthly Operating Expenses}$$

A healthy minimum is 3 months. Less than 1 month is a warning sign that requires immediate action.

The Budget vs. Actual Report

Covered in detail in Module 6. In practice, this report should be:

- Reviewed monthly by the finance team
- Reviewed quarterly by the board
- Available to any ministry leader for their own budget line

When a significant variance appears (more than 10% difference from budget), it should trigger a brief explanation: *"Youth Ministry is under-budget because the annual conference was postponed to next quarter."* Documented explanations prevent confusion and demonstrate active financial management.

What Clariva Does Not Yet Produce: The Balance Sheet

The balance sheet — also called the **Statement of Financial Position** — is a snapshot of everything the organization owns and owes on a specific date.

ASSETS		LIABILITIES	
Cash & Bank Accounts	₦1,675,000	Loan – Building	₦500,000
Equipment	₦250,000	Accounts Payable	₦80,000
		Total Liabilities	₦580,000
		NET ASSETS	
		Unrestricted	₦1,095,000
		Restricted	₦250,000
		Total Net Assets	₦1,345,000
Total Assets	₦1,925,000	Total Liabilities + Net Assets	₦1,925,000

The balance sheet requires tracking **three things together**: what you hold, what you owe, and the difference. Clariva currently tracks what you hold (bank balances, FX) and the activity that affects your fund balances — but it does not track liabilities (loans, accounts payable) or fixed assets (equipment values).

What this means for you:

If your organization is small and has no loans or significant fixed assets, Clariva's reports give you everything you need. Your cash position and category balances tell the complete practical story.

If your organization is larger, carries loans, owns significant assets (vehicles, buildings, equipment), or is required to produce formal audited accounts, you will need to work with an accountant who

maintains a full balance sheet. Clariva's data is the transaction foundation that accountant will work from — your inflows, outflows, and bank records are the primary evidence for everything else.

Many mission organizations start with Clariva as their primary system and bring in an accountant once or twice a year to produce formal accounts using Clariva's data. This is a practical and cost-effective approach.

The Disclosure Principle

Beyond producing accurate numbers, good financial reporting means providing enough context for the reader to understand what they are seeing.

If a large unusual transaction appears in your reports — a one-time grant, an emergency repair, a refund of a prior payment — note it. A brief explanation prevents misunderstanding and demonstrates active stewardship.

Items worth disclosing:

- Significant restricted funds and what they are designated for
- Any loans or obligations not visible in day-to-day transaction records
- Unusual or non-recurring transactions that affect comparability
- Transactions involving leadership or their family members (conflicts of interest)

Transparency is not a vulnerability. It is the mark of an organization that has nothing to hide — and that confidence is the most valuable thing you can offer your donors.

"Financial reports your board will actually understand." — Clariva

Next: Module 8 — Your Financial Team

YOUR FINANCIAL TEAM

Financial management is not a solo activity. When one person controls all aspects of an organization's finances — receiving, recording, approving, and checking — everyone is vulnerable. The person handling the money is exposed to suspicion. The organization is exposed to error and fraud. The donors are exposed to misuse.

Building a financial team is not about distrust. It is about protection — for everyone.

Segregation of Duties

Segregation of duties is the most important internal control principle in accounting. Its rule is simple:

No single person should control a financial transaction from start to finish.

At minimum, separate four functions:

Function	What it involves
Authorization	Deciding that a payment should be made and approving it
Recording	Entering the transaction into the financial records
Custody	Physically handling the cash, cheque, or transfer
Verification	Checking that what was recorded matches what actually happened

When the same person performs all four, errors may go undetected and fraud becomes easier. When these functions are split, each person's work is checked by another, and problems surface quickly.

What This Looks Like in Practice

A small church might implement segregation of duties like this:

Offering counting:

- Two people count together and both sign the counting sheet
- A third person (the treasurer) records the deposit — they were not one of the counters

Bill payments:

- Department heads request payments with supporting invoices
- The senior pastor (or designated officer) approves payments above a threshold
- The treasurer makes the payment and records it
- The finance committee reviews the bank statement monthly

Bank reconciliation:

- The treasurer records transactions throughout the month
- A second person (a board member or finance committee chair) performs or reviews the reconciliation

Even a church with only three people on the finance team can achieve meaningful separation. The goal is not a perfect system — it is a system where no single error or act of dishonesty can go undetected for long.

Financial Roles

Treasurer / Finance Manager The person responsible for day-to-day financial operations:

- Records all income and expenses
- Manages bank accounts and payments
- Performs monthly bank reconciliation
- Prepares financial reports for leadership

Finance Committee / Board The oversight body:

- Reviews and approves the annual budget
- Approves significant or unusual expenditures
- Reviews monthly financial reports
- Engages the external auditor

Authorizing Officers Individuals (often senior leadership) who approve payments above set thresholds. Their signature or digital approval is required before money moves.

External Auditor An independent professional who reviews the organization's financial records annually or as required. The auditor is specifically chosen because they have no involvement in day-to-day operations — their independence is what gives the audit its value.

Access Control: Who Sees What

Not everyone in the organization needs to see every financial record. **Access control** defines who can see and do what within the financial system.

A practical structure:

Role	Can do
Administrator	Full access: configure settings, manage users, all records
Accountant / Finance Staff	Record and edit transactions; view all reports
Viewer / Board Member	View reports and records; no editing capability
Department Lead	View their own department's budget and spending only

Restricting access is not about withholding information. It is about ensuring that every action is traceable to an accountable person — and that mistakes made in one part of the system cannot corrupt the whole record.

The Audit Trail

An **audit trail** is a complete, chronological record of every action taken in the financial system: who created which record, who changed what, when, and what the previous value was.

A complete audit trail shows:

- Every transaction that was created and by whom
- Every edit made to any transaction, showing the old value and the new value
- Every deletion, and who performed it

The audit trail serves as the financial system's memory. It enables:

- **Fraud detection** — unusual patterns of changes become visible
- **Error correction** — you can trace exactly where a mistake was introduced
- **Accountability** — every action is attributed to a person
- **Compliance** — external auditors can verify the integrity of the records

Importantly, the audit trail should be automatic and unalterable. It should not be something the finance team has to remember to update — it must be built into the system.

Written Financial Policies

A financial team without written policies is relying on shared memory and informal agreement. These fail when people change, disputes arise, or external parties ask questions.

Every organization should have a written policy covering:

Spending authorization:

- What amounts can each person approve independently?
- What requires dual signature or committee approval?

Petty cash:

- What is the float? What receipts are required? How is it reconciled?

Bank signatories:

- Who is authorized to make bank transfers?
- Is dual authorization required above a certain amount?

Expense reimbursement:

- What receipts must be submitted?
- How quickly must reimbursements be processed?
- Who approves reimbursements for senior leadership?

Conflict of interest:

- What happens when a financial decision involves a family member of a leader?
- Who makes and documents those decisions?

These policies do not need to be long. A single page of clear rules is worth more than a hundred pages of procedures that no one has read. The goal is that any reasonable person, joining the team without prior context, can understand and follow the rules.

What Clariva Does With This

Role-based access — assign each user a role (administrator, accountant, viewer). Each role has a defined set of permissions. Users cannot exceed their role's boundaries, regardless of how they interact with the system.

Complete audit log — every transaction created, every edit made, every deletion is recorded automatically. The audit trail is immutable: it cannot be edited or deleted.

Field-level change history — when a transaction is edited, Clariva records the specific field that changed, the old value, and the new value. This goes beyond a simple "edited by" log — it shows exactly what was different.

Multi-user collaboration — multiple team members can work in Clariva simultaneously. Financial management becomes a distributed team activity rather than a single person's private record.

"Prove the integrity." — Clariva Audit & Trust Centre

What You Now Know

Over these eight modules, you have built a complete foundation for financial stewardship in a mission organization:

1. **Stewardship** — why money in trust demands faithful record-keeping
2. **Inflows** — how to record and classify every incoming transaction
3. **Outflows** — how to record, approve, and evidence every payment
4. **Categories** — how to organize your chart of accounts to answer leadership questions
5. **Banks and cash** — how to track your cash position and reconcile your accounts
6. **Designated funds** — how to honour donor intent and manage restricted giving
7. **Reports** — how to read your numbers and understand Clariva's scope
8. **Your team** — how to structure accountability and protect everyone

These are not abstract principles. They are the practical disciplines that let you stand before your board, your donors, your community — and say, without hesitation: *we are faithful with what has been entrusted to us.*

Your Next Step

Clariva was built to make these principles practical — not as extra work, but as the natural result of running your finances through a system designed for stewardship.

Every inflow recorded, every outflow categorized, every bank reconciled, every report generated — Clariva holds the record, so you can hold the trust.

"Financial stewardship for the organizations that matter most."

See the Appendix: Going Deeper — for those who want to understand the full accounting picture behind these principles.

GOING DEEPER — THE FULL ACCOUNTING PICTURE

This appendix is for readers who want to understand the accounting principles that underpin this course at a deeper level — particularly if you work with an external accountant, need to read formal financial statements, or are growing toward a system that requires full double-entry accounting.

The main course gave you what you need to use Clariva well. This appendix gives you the broader context.

Double-Entry Bookkeeping

Every accounting system in the world — from a church ledger to a multinational corporation — is built on double-entry bookkeeping. The principle, established in 15th-century Italy and unchanged since, is this:

Every financial transaction affects at least two accounts. For every entry on one side, there is an equal and opposite entry on the other.

This is why the accounting equation always balances:

$$\text{Assets} = \text{Liabilities} + \text{Net Assets}$$

Every transaction that changes one element changes another by the same amount, keeping the equation in balance.

Debits and Credits

In double-entry bookkeeping, every account has two sides. The left side is called a **debit**, the right side a **credit**.

Whether a debit or credit *increases* or *decreases* an account depends on the type of account:

Account Type	Debit	Credit
Asset (e.g. bank account)	Increases ↑	Decreases ↓

Liability (e.g. loan)	Decreases ↓	Increases ↑
Net Assets / Equity	Decreases ↓	Increases ↑
Income	Decreases ↓	Increases ↑
Expense	Increases ↑	Decreases ↓

Example: Sunday offering of ₦180,000 deposited into the main bank account

Account	Debit	Credit
Bank — Main Account (Asset)	₦180,000	
Tithes & Offerings (Income)		₦180,000

The bank account (an asset) increased — so it is debited. The income account increased — and income increases with a credit. Both sides balance: ₦180,000 = ₦180,000.

In Clariva, you never write journal entries like this manually. The system creates them behind the scenes when you record an inflow or outflow. But understanding the underlying structure explains why the financial reports behave the way they do.

The Five Account Types

A complete chart of accounts includes five types:

1. Assets — everything the organization owns or is owed

- Cash and bank balances (what Clariva tracks directly)
- Accounts receivable (money owed to you — grants pending, etc.)
- Fixed assets: equipment, vehicles, buildings
- Prepaid expenses (expenses paid in advance)

2. Liabilities — everything the organization owes

- Accounts payable (invoices you have received but not yet paid)
- Loans and borrowings
- Deferred income (money received that must be "earned" over a future period)
- Accrued expenses (expenses incurred but not yet billed)

3. Net Assets / Equity — what remains after liabilities are subtracted from assets

- For nonprofits: unrestricted net assets, temporarily restricted, permanently restricted
- For commercial entities: share capital, retained earnings

4. Income — money received (what Clariva tracks as inflows)

- All categories of income, as covered in Module 2

5. Expenses — money paid out (what Clariva tracks as outflows)

- All categories of expense, as covered in Module 3

The Balance Sheet

The **balance sheet** (formally the Statement of Financial Position) uses all five account types to show the complete financial position of an organization at a point in time.

ASSETS		LIABILITIES	
Current Assets		Current Liabilities	
Bank — Main Account	¥1,200,000	Accounts Payable	¥80,000
Bank — Savings	¥450,000	Short-term Loan	¥200,000
Petty Cash	¥25,000		
Fixed Assets		Long-term Liabilities	
Vehicle	¥350,000	Building Loan	¥800,000
Equipment	¥150,000		
Total Assets		Total Liabilities	¥1,080,000
		NET ASSETS	
		Unrestricted	¥645,000
		Restricted	¥450,000
		Total Net Assets	
		¥1,095,000	
	¥2,175,000	Total Liabilities + Net Assets	
		¥2,175,000	

The balance sheet always balances because of the accounting equation. If it does not, there is an error.

Cash Basis vs. Accrual Basis

Cash basis accounting records transactions when money actually moves:

- Income recorded when received
- Expenses recorded when paid
- Simple, direct, easy to understand
- What you see in your bank statement

Accrual basis accounting records transactions when they are earned or incurred, regardless of when cash moves:

- Income recorded when earned (e.g. when the grant award is confirmed, even if not yet received)
- Expenses recorded when incurred (e.g. when the invoice is received, even if not yet paid)

- More accurate long-term picture
- Required for formal audited accounts in most jurisdictions

Most small mission organizations operate on cash basis. This is appropriate, straightforward, and matches Clariva's transaction model. As organizations grow and take on grants with complex timing, or are required to produce formal accounts under accounting standards, accrual basis becomes necessary.

When You Need a Full Accounting System

Clariva is a stewardship and fund management platform — it handles the income-and-expense layer of accounting superbly. You should consider supplementing it with a full accounting system when:

- Your organization carries significant loans or borrowings (liabilities)
- You own fixed assets that require depreciation tracking (vehicles, buildings, equipment)
- You are required by law to produce audited accounts under accounting standards (IFRS, GAAP, or local equivalents)
- Your annual income exceeds thresholds that trigger formal reporting requirements
- You are applying for grants that require audited financial statements

In these cases, Clariva remains the primary transaction record — your detailed inflows, outflows, bank reconciliations, and fund balances are the raw data an accountant needs. The accountant's work builds on top of Clariva's data to produce the formal accounts.

Think of it as two layers:

- **Clariva** — the stewardship layer: daily transactions, fund management, real-time reporting, team accountability
- **Accountant + accounting software** — the compliance layer: formal accounts, balance sheet, tax filings, audit support

This combination is practical, cost-effective, and used by many mission organizations worldwide.

This concludes the Faithful with Money course.

Powered by Clariva — Simple accountability. Complete transparency. Total trust.